# Oracle Accounting Hub Cloud

## Implementation Workshop

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# Logistics

Target audience
- Experienced ERP Consultants; Not for beginners

Pre-requisite
- Financials Cloud knowledge [Enterprise Structures, Reporting Structures, Security, FSM etc.,]

Approach
- Use case driven, business process flow focused implementation discussion

Workspace
- All presentations / guides are available on the workspace
- Link to workspace, Q&A forum etc., details are posted on the Event Page > Student Guides tab.

Environment
- To be used for your lab activities
- For environment details, please e-mail oracle-development_ww@oracle.com with subject "Environment Request – Accounting Hub Cloud". Note: email MUST BE SENT from the email account that you used to register for the workshop!

✓ Zoom session is approximately for about 4.5 hours and covers presentations, use-cases & product demonstrations
✓ Audio lines are placed on mute for the entire session. Please submit your questions at any time during the Zoom session via Q&A Panel
✓ If any questions remain unanswered, please post them on Q&A chat on workspace. Post Zoom, you will perform the activities/labs offline and use forum incase of any questions or issues

# Safe harbor statement

The following is intended to outline our general product direction. It is intended for information purposes only, and may not be incorporated into any contract. It is not a commitment to deliver any material, code, or functionality, and should not be relied upon in making purchasing decisions. The development, release, timing, and pricing of any features or functionality described for Oracle's products may change and remains at the sole discretion of Oracle Corporation.

Statements in this presentation relating to Oracle's future plans, expectations, beliefs, intentions and prospects are "forward-looking statements" and are subject to material risks and uncertainties. A detailed discussion of these factors and other risks that affect our business is contained in Oracle's Securities and Exchange Commission (SEC) filings, including our most recent reports on Form 10-K and Form 10-Q under the heading "Risk Factors." These filings are available on the SEC's website or on Oracle's website at http://www.oracle.com/investor. All information in this presentation is current as of September 2019 and Oracle undertakes no duty to update any statement in light of new information or future events.

# Agenda

- Why Accounting Hub Cloud
- Architecture
- Use Case - Analyze
- Use Case - Implement
- Use Case - Demo
- Reconcile & Report
- Considerations

# Why Accounting Hub Cloud?

*Multiple Transaction Systems*
Transaction systems often have no or very limited accounting capabilities (ex: Concur, Zuora or a 3rd party payroll)

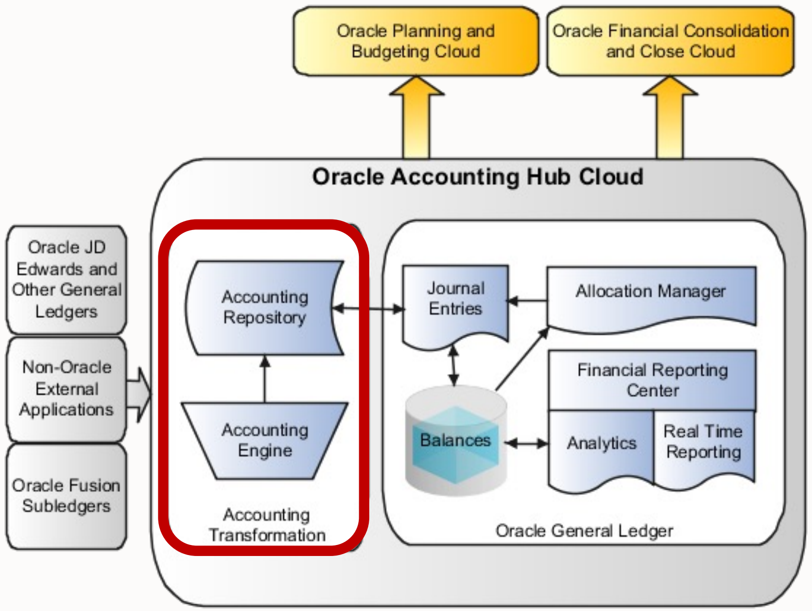
*Federated Accounting*
Accounting function spread across multiple systems resulting in inefficient record to report processes.

*Multiple source of truths*
Use of multiple General Ledger systems and need to consolidate into one financial information repository for financial reporting / business insights.

*Less Agile*
Requires pervasive changes to the business systems managing finance processes when business grows or expands.

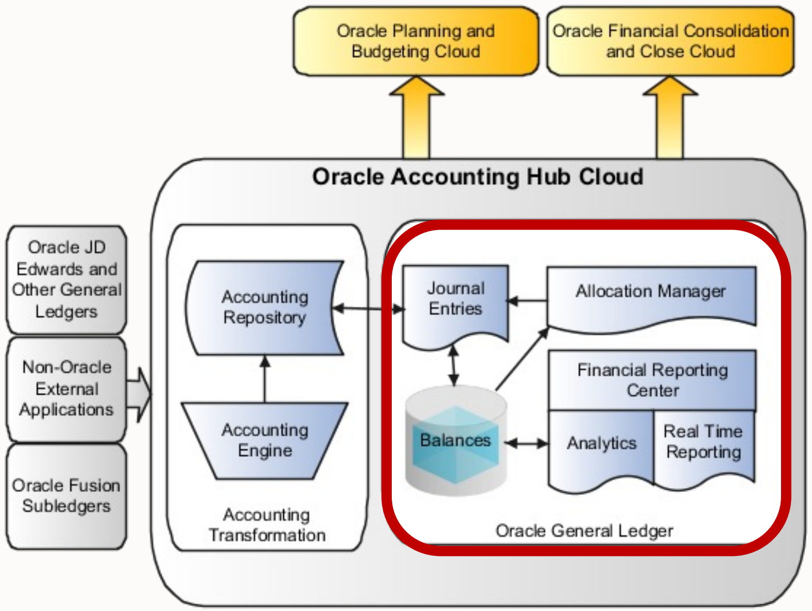
*High Investments*
Significant need for IT resources for upgrades and rollouts.

# Key Features | Accounting Transformation




- Accounting transformation enables you to create subledger accounting rules that provide flexible transformation of transaction and reference information from diverse, non-Oracle, industry applications into accurate, detailed, auditable accounting entries.
- Configure unlimited user defined sub ledgers
- Flexible Modeling options for centralized journal management
- Easy to Implement, expand and maintain

# Key Features | General Ledger




Oracle General Ledger features that provide:

- Journal entry import and creation
- Real time balances from a balances cube
- Accounting controls
- Close functionality
- Cross-ledger intercompany balancing
- Calculation Manager for the definition of allocation rules using complex formulas
- Automatic generation of allocation journals
- Enhanced journal approval
- Year-end process management

Oracle Financial Reporting that provides:

- Embedded balances cube functionality
- Multidimensional, online analytical processing of financial information
- Ability to slice and dice data across dimensions
- Drill up, down, and across on any parent level within the chart of accounts

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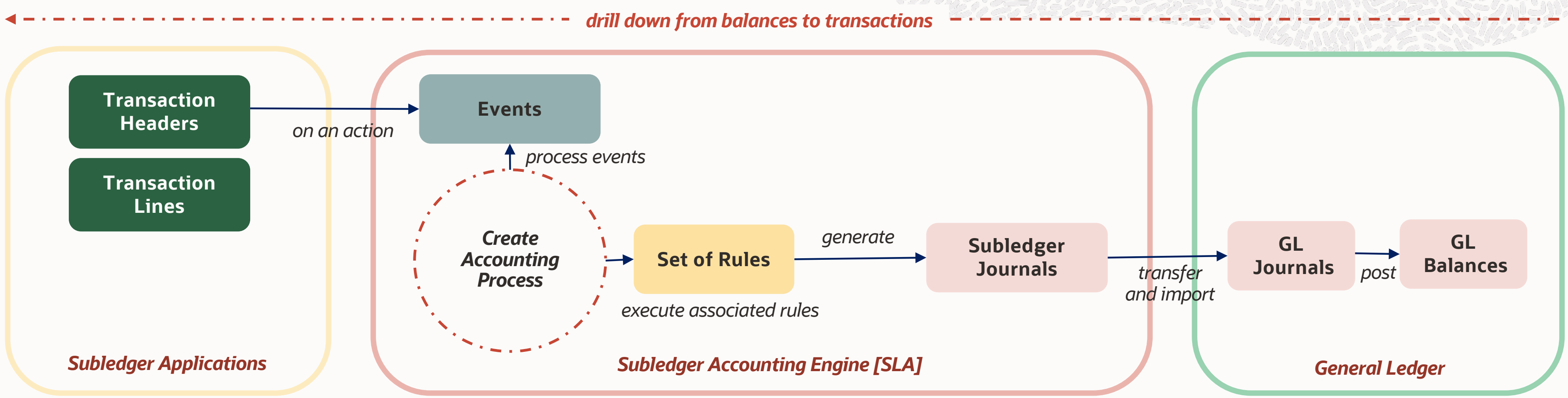
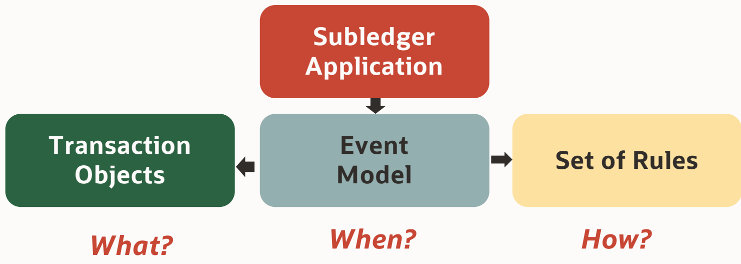
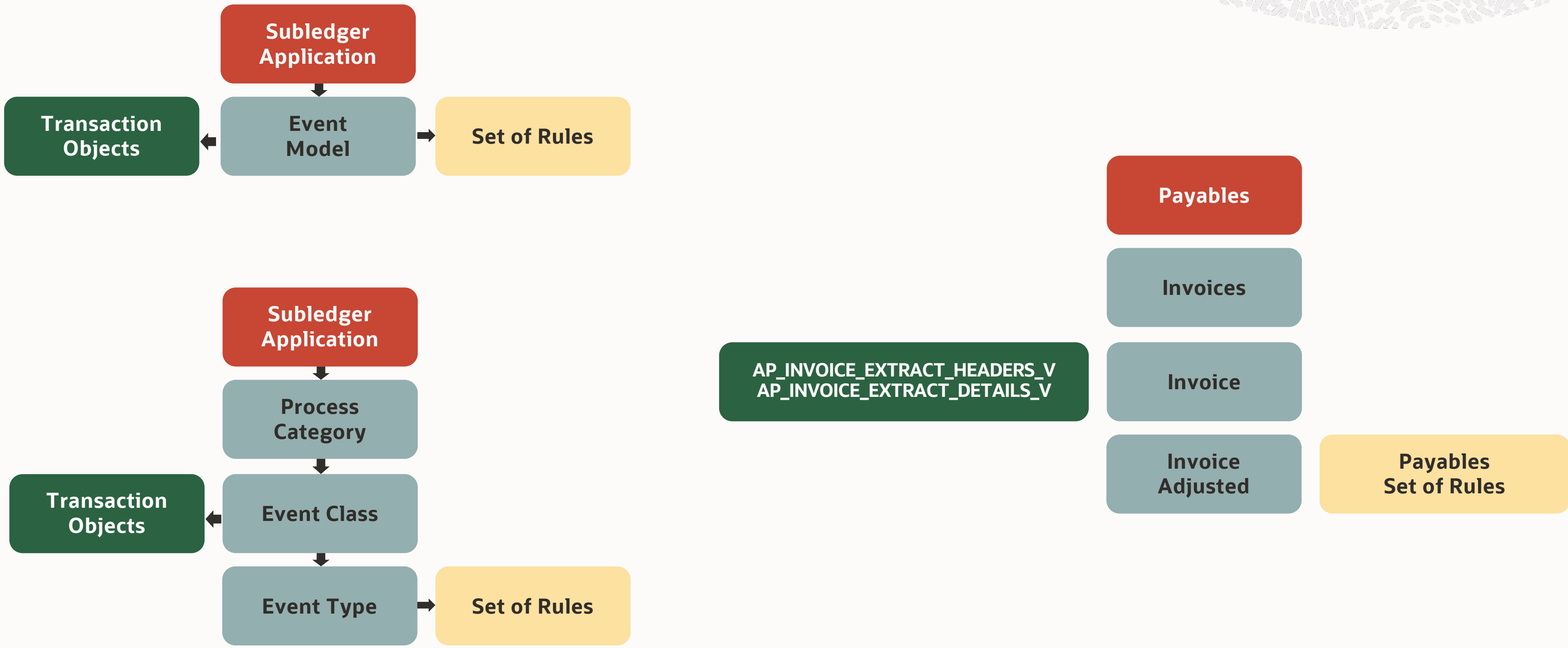
# Architecture

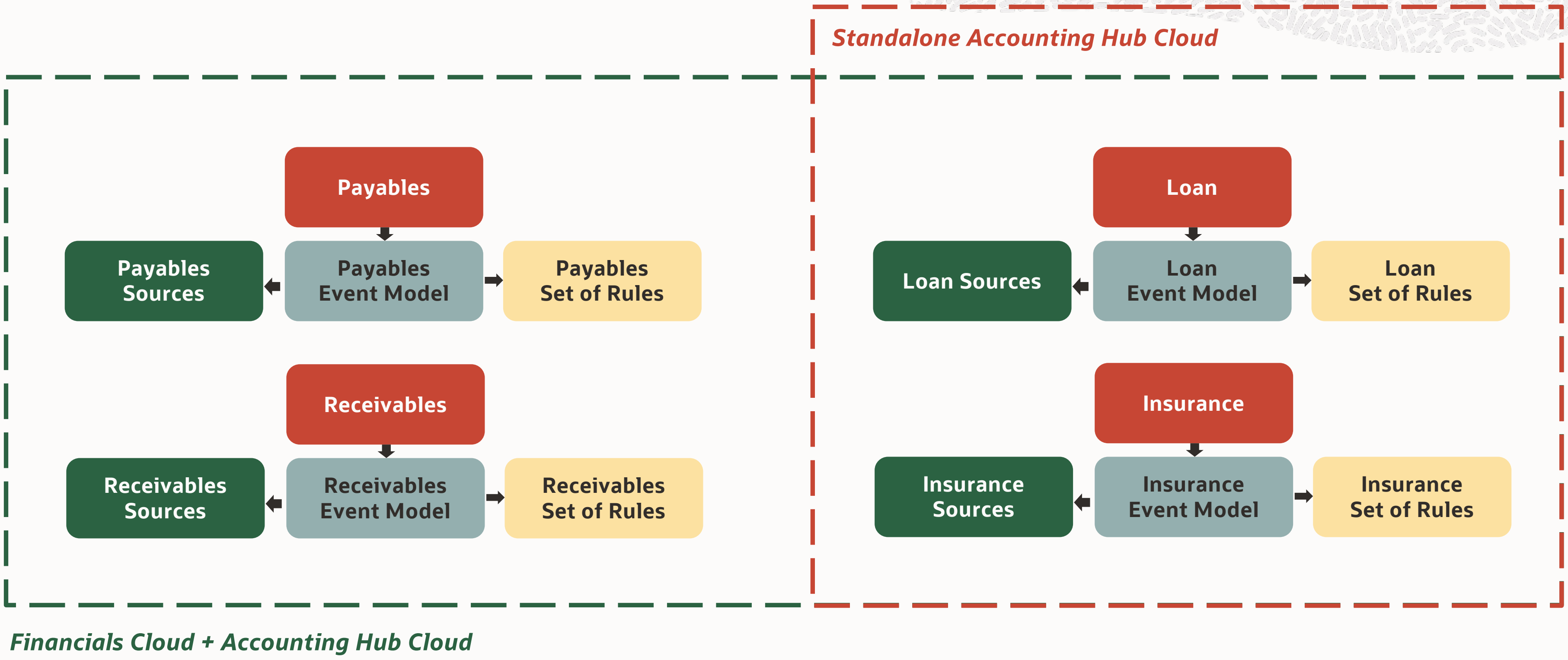


# Architecture



# Architecture



# Agenda

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# Use Case Scenario

## Background

A Financial Services firm ABC Corp has multiple transaction systems (for Loans, Insurances, Billing etc.,) acquired or home-grown over a period of several years. Each of these systems have limited or no accounting & reporting capabilities. So fiscal reporting involves manual consolidation of accounting which is spread across disparate transaction systems. ABC Corp would like to centralize the process and bring down the consolidation time & efforts with touchless automated accounting & reporting processes

## Objective

Consolidate corporate accounting in a single system which is flexible & powerful to optimize the fiscal reporting process and serve as single source of truth across corporate integrating with disparate transaction systems through a touchless end-to-end process.

## Key Features for discussion & demo

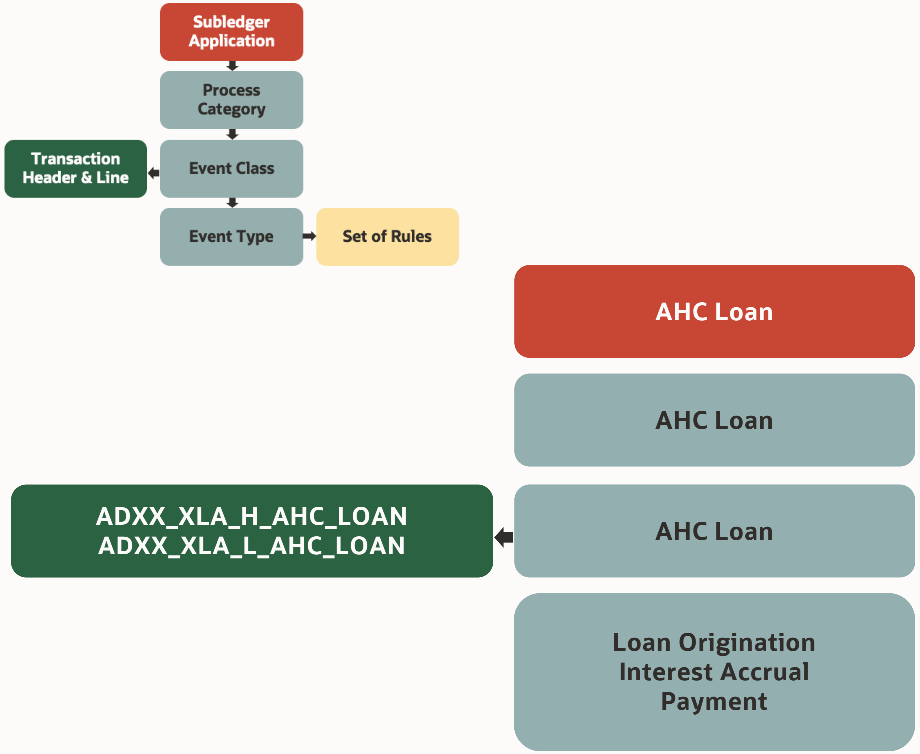
- Flexible spreadsheet based configuration with no coding required
- Multi-period Accounting capability
- Custom Formulas
- Accrual Reversals
- Supporting References
- Mapping Sets
- Transaction Reversals
- Flexible and Powerful Rule Engine
- Ability to adapt to changes in accounting standards
- End-to-End touchless automation

## Agenda for Discussion

- Analyze transaction system schema & accounting requirements
- Configure Accounting Hub (Events, Sources & Rules)
- Load the Transactions and Run Accounting Process
- Automate the End-to-End flow
- Report & Reconciliation

# Analyze Requirements | Event & Source Model




*Underlying tables:*

- XLA_TRANSACTION_HEADERS
- XLA_TRANSACTION_LINES

**ADXX_XLA_H_<AHC_LOAN>**

| Name | Short Name |
|---|---|
| Transaction Type | TRANSACTION_TYPE |
| Transaction Date | TRANSACTION_DATE |
| Transaction Number | TRANSACTION_NUMBER |
| Ledger Name | LEDGER_NAME |
| Bank | BANK |
| Account Number | ACCOUNT_NUMBER |
| Account Currency | ACCOUNT_CURRENCY |
| Original Balance | ORIGINAL_BALANCE |
| Origination Date | ORIGINATION_DATE |
| Maturity Date | MATURITY_DATE |
| Payoff Date | PAYOFF_DATE |
| Term | TERM |
| Interest Rate | INTEREST_RATE |
| Loan Type | LOAN_TYPE |
| Customer | CUSTOMER |
| Customer Category | CUSTOMER_CATEGORY |
| Loan Officer | LOAN_OFFICER |
| Location | LOCATION |

**ADXX_XLA_L_<AHC_LOAN>**

| Name | Short Name |
|---|---|
| Transaction Number | TRANSACTION_NUMBER |
| Default Amount | DEFAULT_AMOUNT |
| Default Currency | DEFAULT_CURRENCY |
| Line Type | LINE_TYPE |
| Conversion Date | CONVERSION_DATE |
| Conversion Type | CONVERSION_TYPE |
| Conversion Rate | CONVERSION_RATE |
| Line Description | LINE_DESCRIPTION |
| Reference | REFERENCE |
| Intercompany Indicator | INTERCOMPANY_INDICATOR |

# Analyze Requirements | Accounting Treatment | Loan Origination

ADXX_XLA_H_AHC_LOAN

| TRANSACTION_TYPE | LEDGER_NAME | TRANSACTION_DATE | TRANSACTION_NUMBER |
|---|---|---|---|
| LOAN_ORIGINATION | US LEDGER | 01-01-2023 | SAM2000 |
| INTEREST_ACCRUAL | US LEDGER | 31-01-2023 | SAM2001 |
| PAYMENT | US LEDGER | 05-02-2023 | SAM2002 |

ADXX_XLA_L_AHC_LOAN

| TRANSACTION_NUMBER | DEFAULT_AMOUNT | DEFAULT_CURRENCY | LINE_TYPE |
|---|---|---|---|
| SAM2000 | -20000 | USD | LOAN |
| SAM2000 | 1000 | USD | FEE |
| SAM2001 | 250 | USD | ACCRUED_INTEREST |
| SAM2002 | 250 | USD | INTEREST |
| SAM2002 | 150 | USD | PRINCIPAL |

| DR/CR | Accounting Class | Accounting Date | Entered Amount | Entered Currency |
|---|---|---|---|---|
| DR | Loan Receivable | 01-01-2023 | 20000 | USD |
| CR | Cash | 01-01-2023 | 20000 | USD |
| DR | Cash | 01-01-2023 | 1000 | USD |
| CR | Unearned Fee Income | 01-01-2023 | 1000 | USD |

| DR/CR | Accounting Class | Accounting Date | Entered Amount | Entered Currency |
|---|---|---|---|---|
| DR | Unearned Fee Income | 31-01-2023 | 84.9 | USD |
| CR | Loan Fee | 31-01-2023 | 84.9 | USD |

| DR/CR | Accounting Class | Accounting Date | Entered Amount | Entered Currency |
|---|---|---|---|---|
| DR | Unearned Fee Income | 28-02-2023 | 76.7 | USD |
| CR | Loan Fee | 28-02-2023 | 76.7 | USD |

*...and so on until Dec 2023*

# Analyze Requirements | Accounting Treatment | Interest Accrual

ADXX_XLA_H_AHC_LOAN

| TRANSACTION_TYPE | LEDGER_NAME | TRANSACTION_DATE | TRANSACTION_NUMBER |
|---|---|---|---|
| LOAN_ORIGINATION | US LEDGER | 01-01-2023 | SAM2000 |
| INTEREST_ACCRUAL | US LEDGER | 31-01-2023 | SAM2001 |
| PAYMENT | US LEDGER | 05-02-2023 | SAM2002 |

ADXX_XLA_L_AHC_LOAN

| TRANSACTION_NUMBER | DEFAULT_AMOUNT | DEFAULT_CURRENCY | LINE_TYPE |
|---|---|---|---|
| SAM2000 | -20000 | USD | LOAN |
| SAM2000 | 1000 | USD | FEE |
| SAM2001 | 250 | USD | ACCRUED_INTEREST |
| SAM2002 | 250 | USD | INTEREST |
| SAM2002 | 150 | USD | PRINCIPAL |

| DR/CR | Accounting Class | Accounting Date | Entered Amount | Entered Currency |
|---|---|---|---|---|
| DR | Interest Receivable | 31-01-2023 | 250 | USD |
| CR | Interest Income | 31-01-2023 | 250 | USD |

| DR/CR | Accounting Class | Accounting Date | Entered Amount | Entered Currency |
|---|---|---|---|---|
| DR | Interest Income | 01-02-2023 | 250 | USD |
| CR | Interest Receivable | 01-02-2023 | 250 | USD |

# Analyze Requirements | Accounting Treatment | Payment

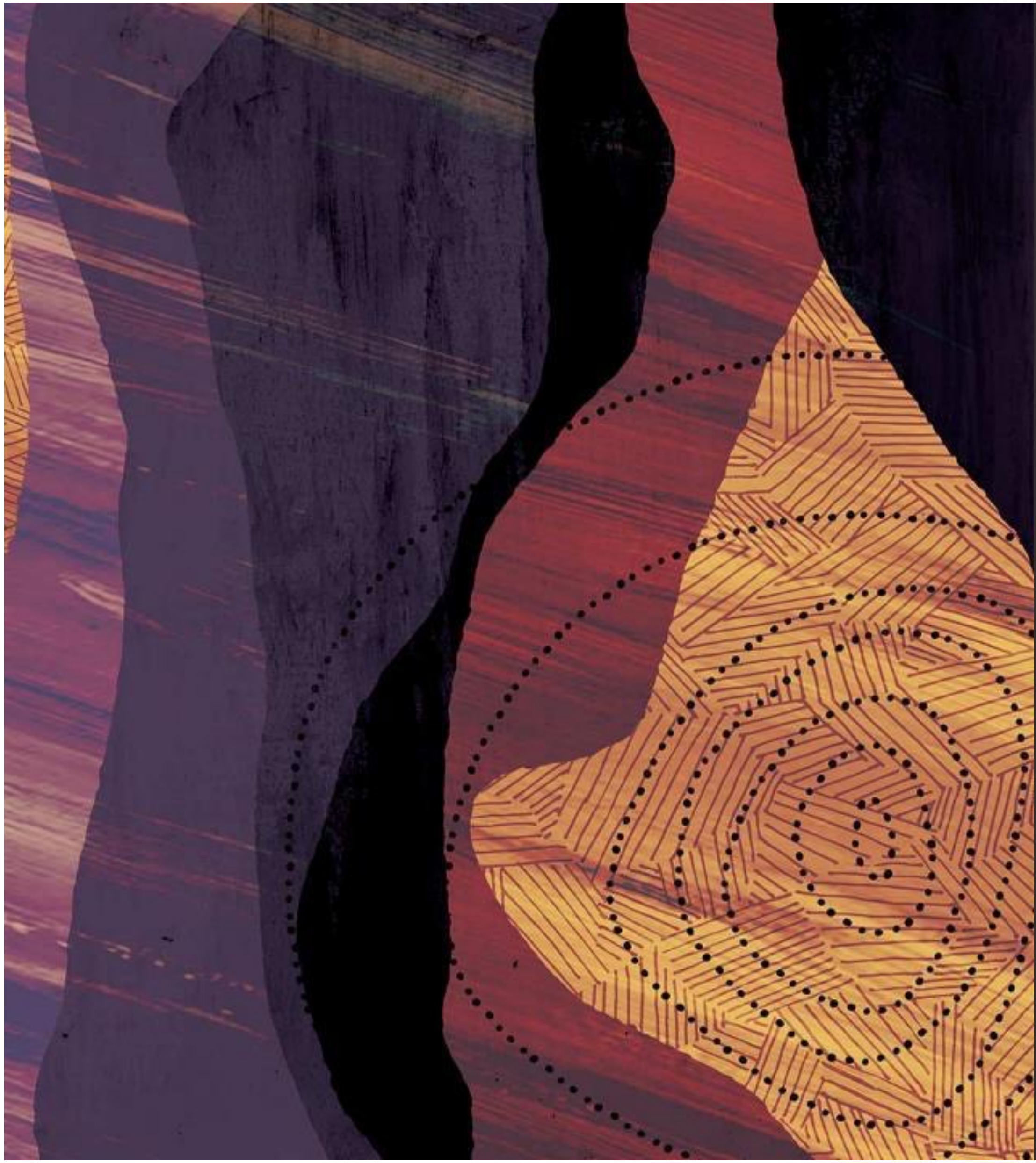
ADXX_XLA_H_AHC_LOAN

| TRANSACTION_TYPE | LEDGER_NAME | TRANSACTION_DATE | TRANSACTION_NUMBER |
|---|---|---|---|
| LOAN_ORIGINATION | US LEDGER | 01-01-2023 | SAM2000 |
| INTEREST_ACCRUAL | US LEDGER | 31-01-2023 | SAM2001 |
| PAYMENT | US LEDGER | 05-02-2023 | SAM2002 |

ADXX_XLA_L_AHC_LOAN

| TRANSACTION_NUMBER | DEFAULT_AMOUNT | DEFAULT_CURRENCY | LINE_TYPE |
|---|---|---|---|
| SAM2000 | -20000 | USD | LOAN |
| SAM2000 | 1000 | USD | FEE |
| SAM2001 | 250 | USD | ACCRUED_INTEREST |
| SAM2002 | 250 | USD | INTEREST |
| SAM2002 | 150 | USD | PRINCIPAL |

| DR/CR | Accounting Class | Accounting Date | Entered Amount | Entered Currency |
|---|---|---|---|---|
| DR | Cash | 05-02-2023 | 250 | USD |
| DR | Cash | 05-02-2023 | 150 | USD |
| CR | Loan Receivable | 05-02-2023 | 150 | USD |
| CR | Interest Income | 05-02-2023 | 250 | USD |



# Agenda

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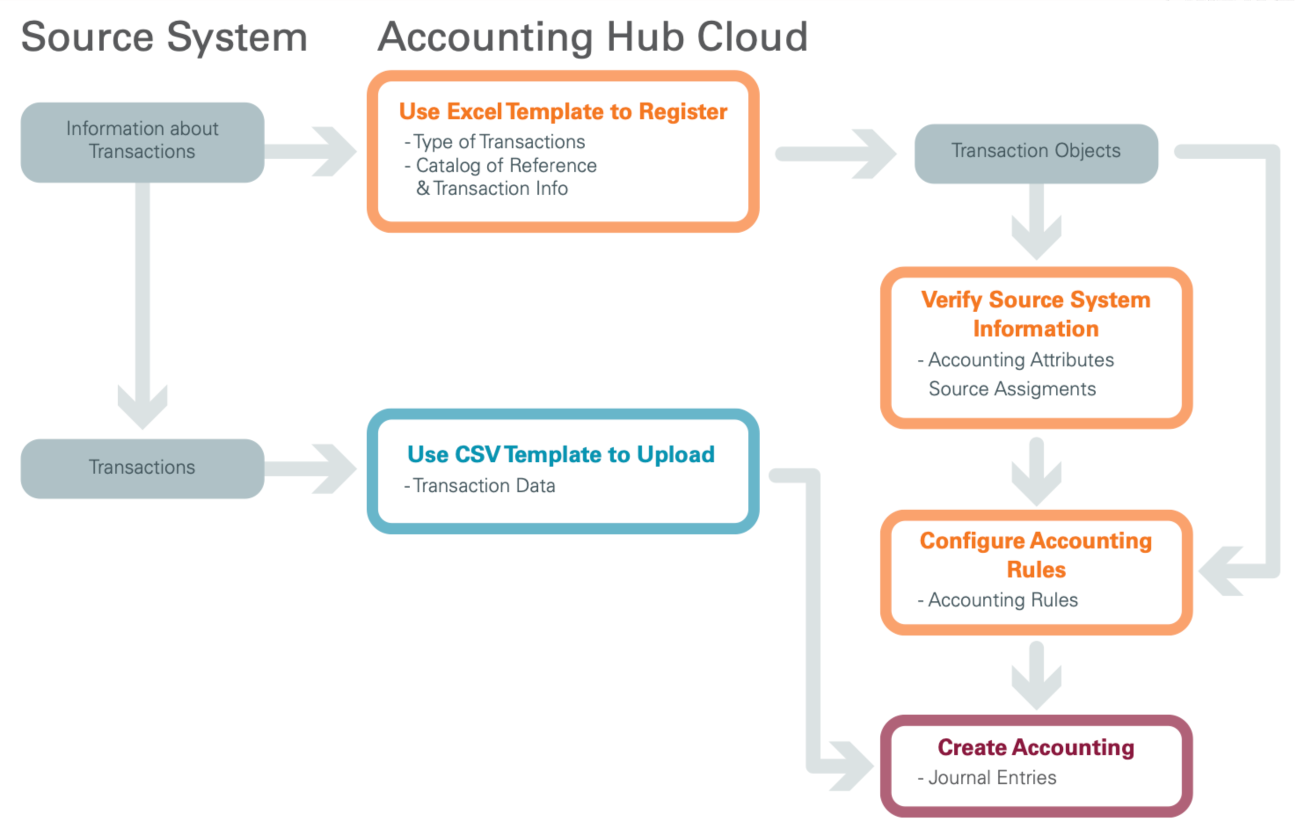
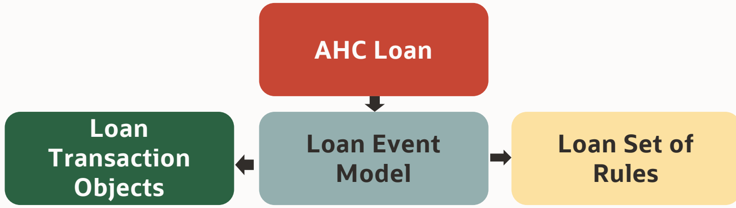
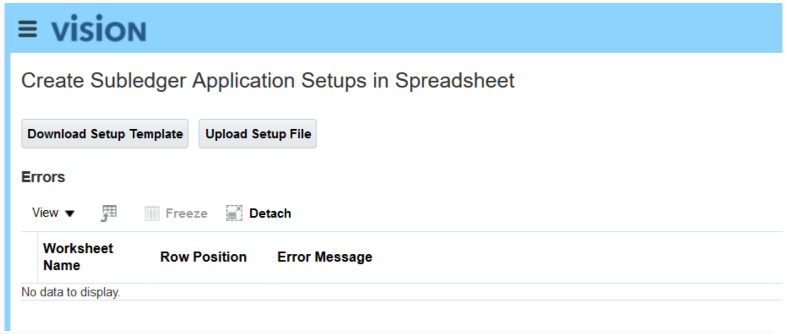
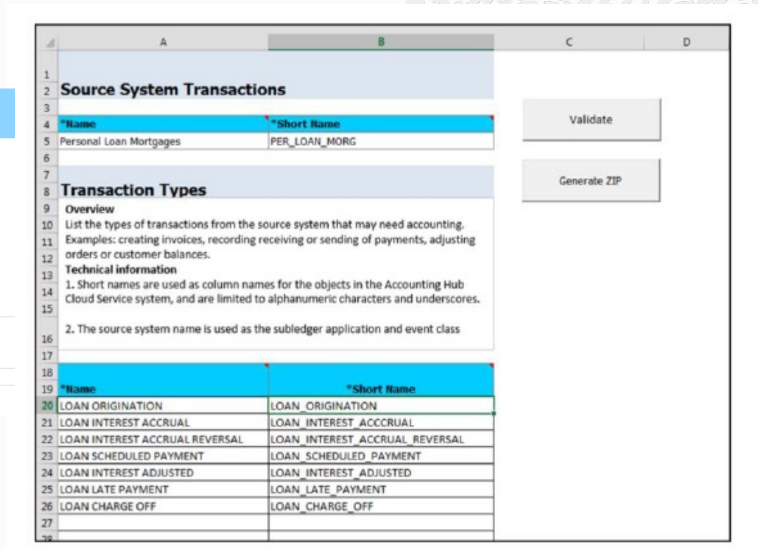
# Implement | Rapid Setup

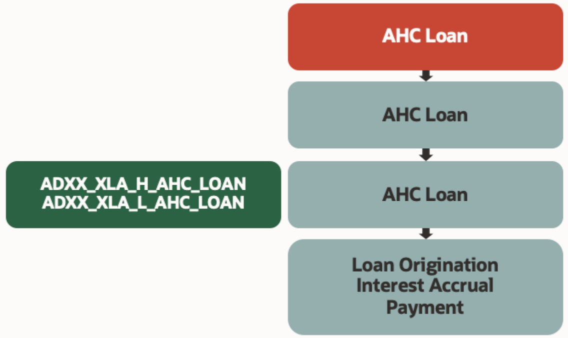


# Implement | Events & Sources



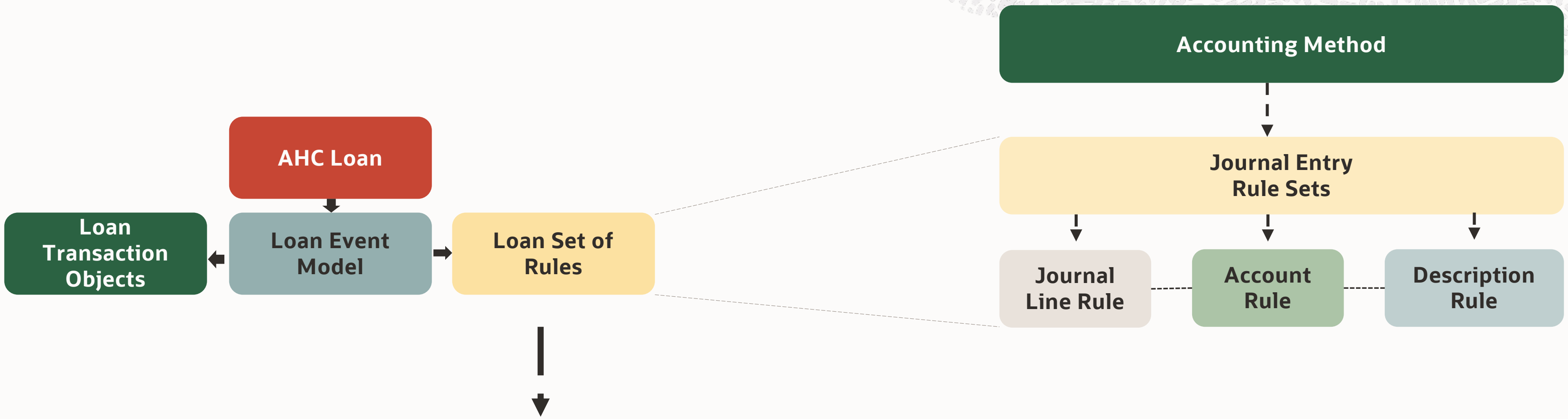




- 50 Char[100]; 10 Numbers; 10 Dates; 5 Long Char[1000]
- Upload file process creates subledger application setups in a single step, including source, journal category, event model, transaction objects, sources and accounting attribute assignments
- Use 'Manage Subledger Accounting Lookups' task to create custom accounting classes (XLA_ACCOUNTING_CLASS lookup type)
- If you need to override the uploaded source system information, you can re-upload the spreadsheet template for the same source system if you have not created any accounting rules for the uploaded source system.
- You can revise the source names to be more business user-friendly so that they are easily understood when configuring accounting rules
- You can add sources from the user interface. The download of a new transaction data template includes this newly added source

Registering Source System

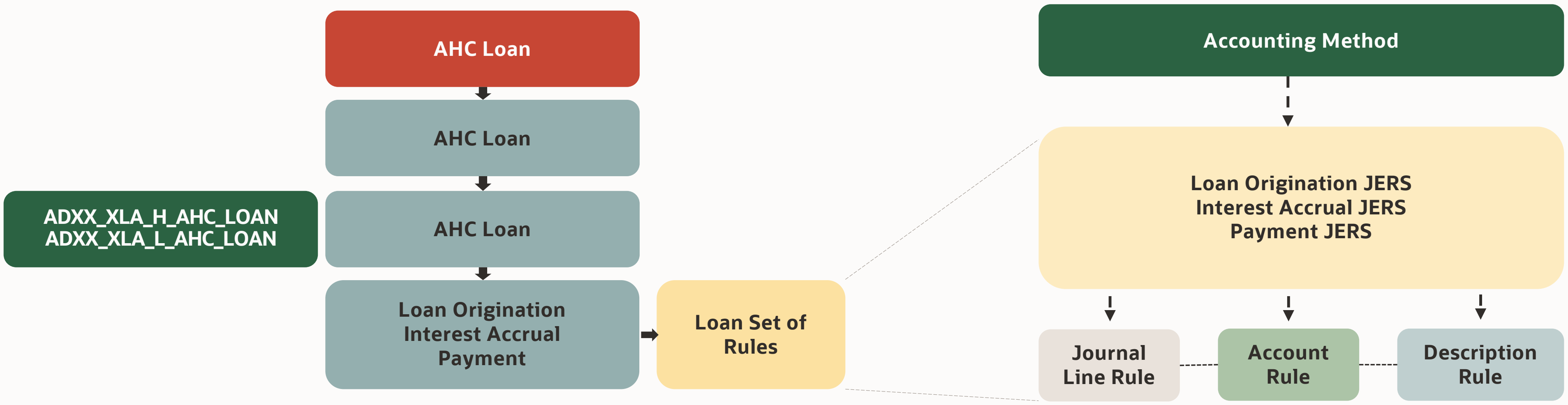
 

# Implement | Accounting Rules




| *Debit / Credit* | *Accounting Class* | *Accounting Date* | *Entered Amount* | *Entered Currency* | *Accounted Amount* | *Accounted Currency* | *Account* | *Description* |
|---|---|---|---|---|---|---|---|---|
| DR | Expense | 01-01-2023 | 100.00 | EUR | 110.00 | USD | 101.10.56744.000.000 | Item#6745 for Dept |
| CR | Liability | 01-01-2023 | 100.00 | EUR | 110.00 | USD | 101.10.20056.000.000 | Supplier#ABC Invoice#123 |

# Implement | Accounting Rules



ADXX_XLA_H_AHC_LOAN

| TRANSACTION_TYPE | LEDGER_NAME | TRANSACTION_DATE | TRANSACTION_NUMBER |
|---|---|---|---|
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| PAYMENT | US LEDGER | 05-02-2023 | SAM2002 |

ADXX_XLA_L_AHC_LOAN

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| SAM2000 | 1000 | USD | FEE |
| SAM2001 | 250 | USD | ACCRUED_INTEREST |
| SAM2002 | 250 | USD | INTEREST |
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| DR/CR | Accounting Class | Accounting Date | Entered Amount | Entered Currency |
|---|---|---|---|---|
| DR | Loan Receivable | 01-01-2023 | 20000 | USD |
| CR | Cash | 01-01-2023 | 20000 | USD |
| DR | Cash | 01-01-2023 | 1000 | USD |
| CR | Unearned Fee Income | 01-01-2023 | 1000 | USD |

| DR/CR | Accounting Class | Accounting Date | Entered Amount | Entered Currency |
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…and so on until Dec 2023

# Implement | Loan Origination JERS

Accounting Method

*linked to LOAN_ORIGINATION event*

Loan Origination JERS

Loan Receivable JLR — line_type = LOAN — Account Rule — Description Rule

*multiperiod = no*
*multiperiod class = loan fee*

Loan Fee Accrual JLR — line_type = FEE — Account Rule — Description Rule

*multiperiod = yes*
*multiperiod class = loan fee*
*assign multiperiod attributes*

Loan Fee Income JLR — None — Account Rule — Description Rule

Cash JLR — line_type = LOAN or FEE — Account Rule — Description Rule

✓ Multiperiod Accounting
✓ User Defined Formula
*[can be used in JLR, Account Rule, Mapping Set, Description Rule, Supporting Reference]*

# Implement | Loan Origination JERS

## Multiperiod Accounting

- Define a User-Defined Formula (custom formula) determining how to distribute the entered amount across accounting periods. If required, you can use the new multiperiod predefined sources. (Loan Fee Prorate by Days)
  - For example:
  - Multiperiod Original Entered Amount
  - Multiperiod Recognized Entered Amount
  - Last Multiperiod Accounting Date
  - Number of Days in Current Accounting Period
- Define Multiperiod Classes using the Manage Subledger Accounting Lookups task.
  - Lookup Type: ORA_XLA_MULTIPERIOD_CLASS (Loan Fee)
- Define a non-multiperiod Journal Line Rule for the deferral entry specifying the Multiperiod Class. This rule is used to post the fee amount to the deferral account (OFS Loan Fee Accrual)
- Define a multiperiod Journal Line Rule for the recognition entry: (OFS Loan Fee)
- Enable the Multiperiod option and assign the same Multiperiod Class (Loan Fee)
- Assign the User-Defined Formula (custom formula) to the Entered Amount accounting attribute (Loan Fee Prorate by Days)
- Assign relevant sources to the Multiperiod Start Date and Multiperiod End Date accounting attributes (Origination Date -> Payoff Date)
- Assign both journal line rules to the same journal entry rule set with:
  - A deferral account rule assigned to the non-multiperiod journal line rule. (OFS Loan Fee)
  - A revenue or expense account rule assigned to the multiperiod journal line rule. (OFS Loan Fee Accrual)
- Assign the journal entry rule set to the accounting method.
- Schedule the Create Multiperiod Accounting process to run after the Create Accounting process so that recognition journal entries are properly booked each period

[Accounting Attribute Assignments]

# Implement | Interest Accrual JERS

ADXX_XLA_H_AHC_LOAN

| TRANSACTION_TYPE | LEDGER_NAME | TRANSACTION_DATE | TRANSACTION_NUMBER |
|---|---|---|---|
| LOAN_ORIGINATION | US LEDGER | 01-01-2023 | SAM2000 |
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ADXX_XLA_L_AHC_LOAN

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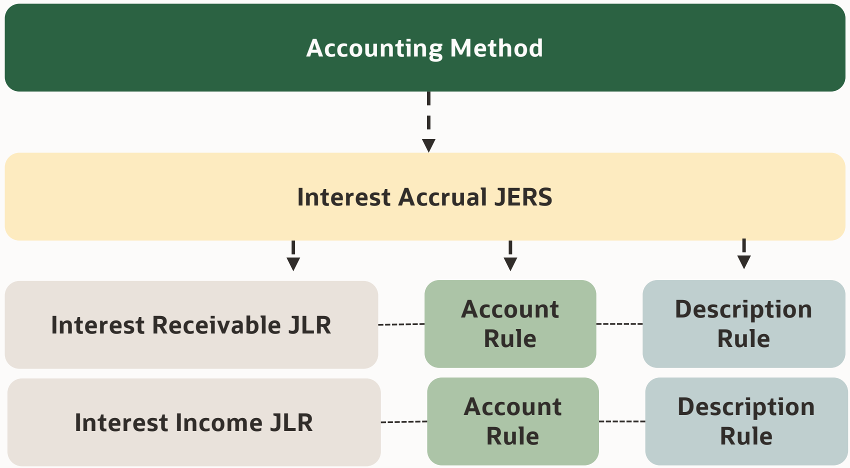
| SAM2001 | 250 | USD | ACCRUED_INTEREST |
| SAM2002 | 250 | USD | INTEREST |
| SAM2002 | 150 | USD | PRINCIPAL |

*linked to INTEREST_ACCRUAL event*




*Accrual Reversal Accounting Date Source = First Day of Next Accounting Period*

`line_type = ACCRUED_INTEREST`

| DR/CR | Accounting Class | Accounting Date | Entered Amount | Entered Currency |
|---|---|---|---|---|
| DR | Interest Receivable | 31-01-2023 | 250 | USD |
| CR | Interest Income | 31-01-2023 | 250 | USD |

| DR/CR | Accounting Class | Accounting Date | Entered Amount | Entered Currency |
|---|---|---|---|---|
| DR | Interest Income | 01-02-2023 | 250 | USD |
| CR | Interest Receivable | 01-02-2023 | 250 | USD |

✓ Accrual Reversal

# Implement | Interest Accrual JERS

## Accrual Reversal

- Assign a date source to the Accrual Reversal Accounting Date Source accounting attribute at the event class level. Use this attribute to schedule the automatic reversal of a journal entry. Assign any standard date source or one of the following application sources to the Accrual Reversal Accounting Date Source accounting attribute:
  - Next Day: The accounting date of the accrual reversal is the next day following the accounting date of the accrual entry.
  - First Day of Next Accounting Period: The accounting date of the accrual reversal entry is the first day of the following accounting period.
  - Last Day of Next Accounting Period: The accounting date of the accrual reversal entry is the last day of the following accounting period.
  - Note: You can override the Accrual Reversal Accounting Date Source accounting attribute values on the journal entry rule set if multiple sources have been assigned to the accounting attribute.
- Create an accounting event in the subledger application.
- Submit the Create Accounting process.
- The Create Accounting process creates the accrual journal entry as well as the accrual reversal journal entry (if the accrual reversal date is on or before the end date and the period is open). The process creates the accrual reversal entry to negate the impact of the accrual entry. The Manage Subledger Accounting Options, Reversal Method option enables entries to appear as debit and credit signs reversed or to have negative amounts.
- The status of the accrual reversal journal entry is based upon both the:
  - Accounting period status of the accrual reversal journal entry accounting date.
  - End Date specified in the Create Accounting process parameters.
- Submit the Create Accrual Reversal Accounting process to complete accrual reversals in future accounting periods as the periods are opened.
- View accrual reversal accounting entries.

- Note: You must not enable reversal in General Ledger journal for the journal source and category if accrual reversal is implemented in subledger.

[Accounting Attribute Assignments]

# Implement | Payment JERS

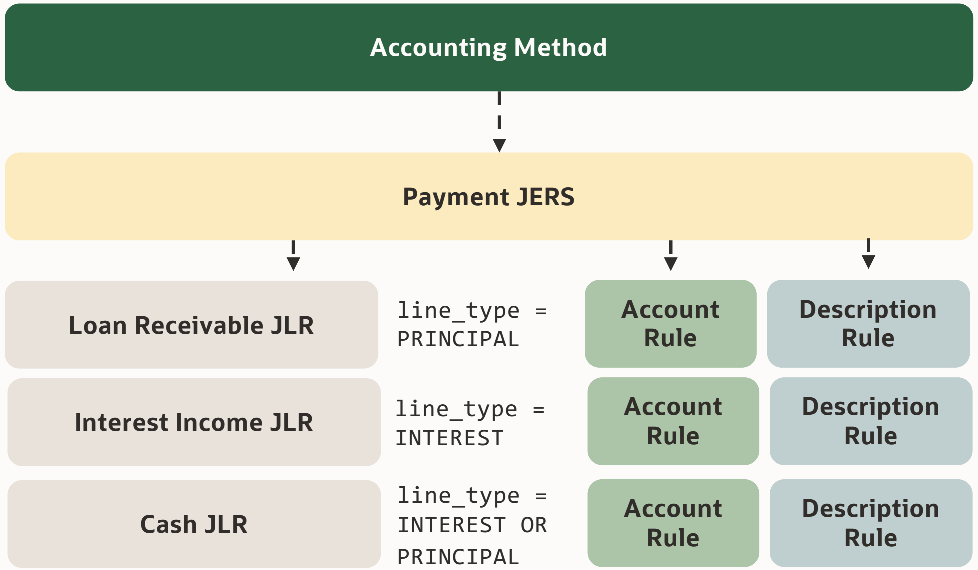
ADXX_XLA_H_AHC_LOAN

| TRANSACTION_TYPE | LEDGER_NAME | TRANSACTION_DATE | TRANSACTION_NUMBER |
|---|---|---|---|
| LOAN_ORIGINATION | US LEDGER | 01-01-2023 | SAM2000 |
| INTEREST_ACCRUAL | US LEDGER | 31-01-2023 | SAM2001 |
| PAYMENT | US LEDGER | 05-02-2023 | SAM2002 |

ADXX_XLA_L_AHC_LOAN

| TRANSACTION_NUMBER | DEFAULT_AMOUNT | DEFAULT_CURRENCY | LINE_TYPE |
|---|---|---|---|
| SAM2000 | -20000 | USD | LOAN |
| SAM2000 | 1000 | USD | FEE |
| SAM2001 | 250 | USD | ACCRUED INTEREST |
| SAM2002 | 250 | USD | INTEREST |
| SAM2002 | 150 | USD | PRINCIPAL |

*linked to PAYMENT event*




| DR/CR | Accounting Class | Accounting Date | Entered Amount | Entered Currency |
|---|---|---|---|---|
| DR | Cash | 05-02-2023 | 250 | USD |
| DR | Cash | 05-02-2023 | 150 | USD |
| CR | Loan Receivable | 05-02-2023 | 150 | USD |
| CR | Interest Income | 05-02-2023 | 250 | USD |

# Implement | Account Rules

| DR/CR | Accounting Class | Code Combination | Entered Amount | Entered Currency |
|---|---|---|---|---|
| DR | Loan Receivable | 101-00-13602-111 | 20000 | USD |

## Loan Receivable Account

Default Code Combination

Overlay Segments

Company [Input Source = **Bank**]

- `AHC Bank US = 101`
- `OFS Bank UK = 303`

Natural Account [Input Source = **Line Type & Loan Type**]

- `PRINCIPAL & TERM = 13603`
- `PRINCIPAL & PROJ = 13602`
- `PRINCIPAL & * = 13601`

Product [Input Source = **Loan Type**]

- `TERM = 239`
- `PROJ = 121`
- `FRM = 111`
- `* = 170`

## Account Rules: Rule Types

- Account Combination *[COA must be specified]*
  - Output Value Type: Source or Mapping Set or Account Rule
- Segment *[if COA is not specified, can choose by segment label]*
  - Output Value Type: Source or Mapping Set or Account Rule or Formula or Constant
- Value Set *[when COA is not associated]*
  - Output Value Type: Source or Mapping Set or Account Rule or Formula or Constant

## Mapping Sets

- Output Type: Account Combination or Segment or Value Set
- Up to 10 input sources
- Cut down account rules & complex conditions
- Import mappings

# Implement | Description Rules

| DR/CR | Accounting Class | Code Combination | Entered Amount | Description |
|---|---|---|---|---|
| DR | Loan Receivable | 101-00-13602-111 | 20000 | Loan: 2018072202 USD 460000 - Loan Type: FRM |

## Loan Receivable Description

Loan: Account Number <space> Currency <space>
Original Balance - Loan Type: Loan Type

Example:
Loan: 2018072202 USD 460000 - Loan Type: FRM

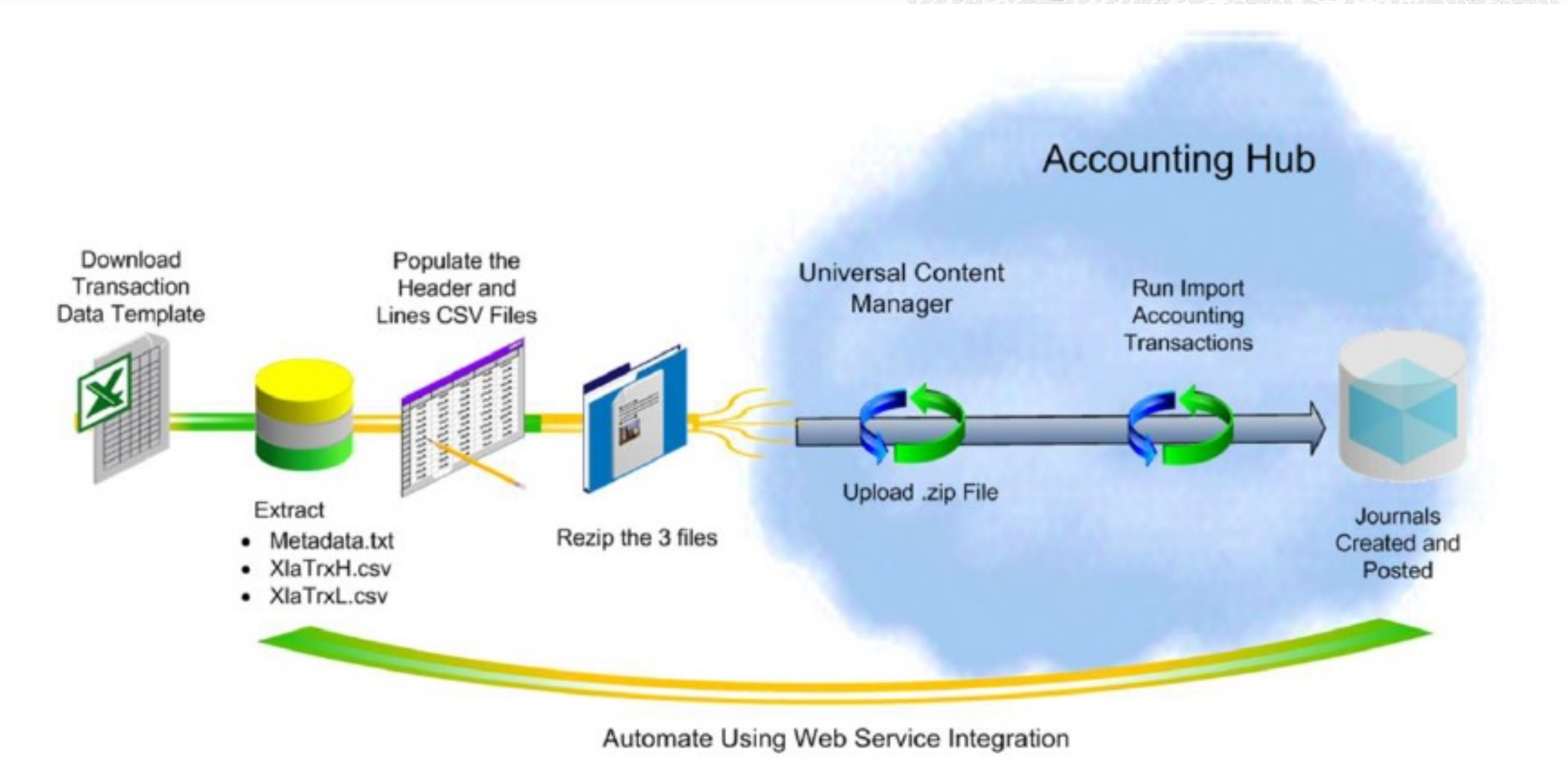
## Summarization

- Subledger Accounting Options
  - General Ledger Journal Entry Summarization *(how the subledger journal entries are grouped or summarized)*
    - Summarize by period
    - Summarize by date
    - Group by period [*not available*]
    - Group by date [*not available*]
- Journal Line Rule
  - Merge Matching Lines

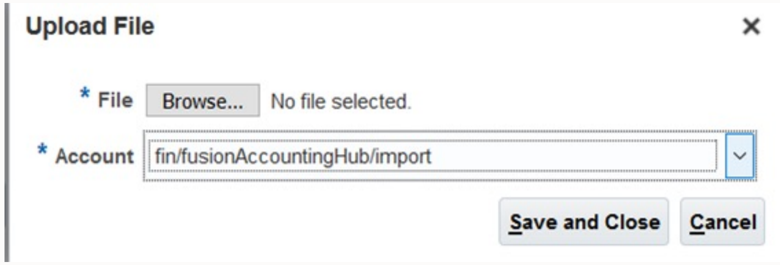
# Agenda

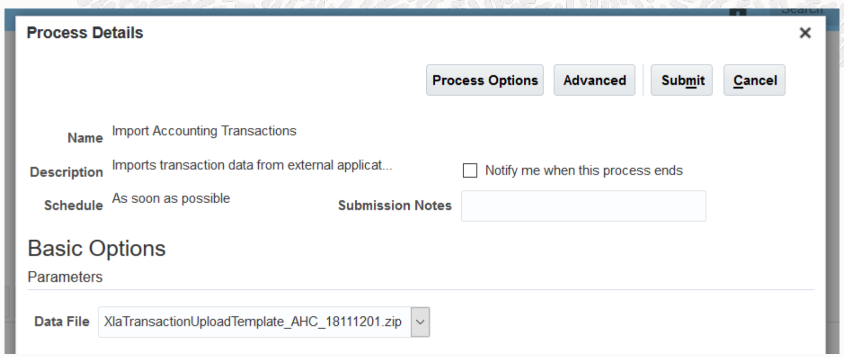
- Why Accounting Hub Cloud
- Architecture
- Use Case - Analyze
- Use Case - Implement
- Use Case - Demo
- Reconcile & Report
- Considerations

# End to End Process Flow Demo



# End to End Process Flow Demo




- Accounting Hub Integration duty role [Reference]
- The name of the file must begin with `‘XlaTransaction’`.
- The files can have a unique name that includes a date and time stamp as well as the subledger source.
- For example, `XlaTransactionLoanMortgage12_01_16`
- Date Formats in the datafile should be of `‘YYYY-MM-DD’`

Reference: Uploading Transaction Data for Accounting

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# Reconcile & Report | Supporting References

Use **Supporting References** to:

- ✓ Facilitate reconciliation to source systems by tagging journal entries with transaction and reference attributes.
- ✓ Maintain balances by dimensions not captured in the chart of accounts.
- ✓ Report using dimensions not captured in the chart of accounts.
- ✓ Enrich reporting on subledger journals.

- Don't anticipate using GL features for supporting reference balances. Allocations, revaluations and other general ledger features are **not available for supporting reference balances**
- For performance, **limit the number of supporting references with balances.** Requirements for having more than one supporting reference balance per journal line are rarely justified. For example, for loan receivables, a supporting reference balance for anything but the loan identifier is unlikely to be appropriate.
- Balances are tracked in ledger currency unless Entered Currency Balances for Supporting References Enabled profile option is set and it can only be set before balances are first created.

# Reconcile & Report | Supporting References | Without Balances

| DR/CR | Accounting Class | Accounting Date | Entered Amount | Entered Currency | Description | Customer | Loan Number |
|---|---|---|---|---|---|---|---|
| DR | Loan Receivable | 01-01-2023 | 20000 | USD | Customer: ABC Corp, Loan: LN002345 | ABC Corp | LN002345 |
| DR | Loan Receivable | 15-04-2023 | 25000 | USD | Customer: ABC Corp, Loan: LN092378 | ABC Corp | LN092378 |
| DR | Loan Receivable | 02-07-2023 | 30000 | USD | Customer: ABC Corp, Loan: LN702332 | ABC Corp | LN702332 |

Without Balances [unlimited definitions; 30 assignments per JLR]

- ✓ Aids in slicing and dicing journal data
- ✓ Use Case Example: Loan Officer, Loan Term, Location etc.,
- ✓ Maximum Length is 30.

3 Steps:

- ✓ Create Supporting Reference
- ✓ Link it to Source
- ✓ Associate Supporting Reference to Journal Line Rule

✓ Control non-balance supporting reference column assignment

# Reconcile & Report | Supporting References | With Balances

| DR/CR | Accounting Class | Accounting Date | Entered Amount | Entered Currency | Customer | Customer Type |
|---|---|---|---|---|---|---|
| DR | Loan Receivable | 01-01-2023 | 20000 | USD | ABC Corp | Corporate |
| DR | Loan Receivable | 15-01-2023 | 25000 | USD | ABC Corp | Corporate |
| DR | Loan Receivable | 02-01-2023 | 30000 | USD | F Morgan | Individual |
| DR | Loan Receivable | 25-01-2023 | 45000 | USD | J Jackson | Individual |

| Period | Supporting Reference | Beginning Balance | Period Activity DR |
|---|---|---|---|
| JAN-23 | ABC Corp | 15000 | 45000 |
| JAN-23 | Corporate | 25000 | 45000 |
| JAN-23 | Individual | 7000 | 75000 |

XLA_AC_BALANCES

## With Balances [limited to 30 definitions; 30 assignments per JLR]

- ✓ Facilitates reconciliation by tagging journals with transaction or reference attributes
- ✓ Creates reports on balances by dimensions not captured as part of COA

Use Case Example: Account Number, Customer, Customer Type etc.,

- ✓ Reference: Manage Supporting References For Sublegder Journals
- ✓ Reference: Creating Supporting References

# Reconcile & Report | Reporting Tools

| REPORTING TOOL | DESCRIPTION | CONSUMERS |
|---|---|---|
| Business Intelligence Publisher (BIP) | High volume transactional reporting. There are delivered standard BIP reports that are accessible from the Scheduled Processes page. You can also build custom BIP reports. | Most users. Reports are accessible based on roles. |
| Oracle Transactional Business Intelligence (OTBI) | Ad hoc transactional reports with real-time data. Not meant for high volume reporting or extracting data to external systems. | Most users. Data is accessible based on roles. |
| Financial Reporting Studio (FR Studio) | Financial and management GL balance reports with professional-quality formatting. Can be used online (drill down support) or offline in spreadsheet/PDF format. | Senior Management and External Stakeholders. |
| Smart View | User friendly Excel Add-In for real-time analysis, slicing, dicing and pivoting on GL balances, drill down capability. | Financial Analysts, Finance Managers |
| BI Mobile Apps Designer | Custom data analysis based on OTBI. Accessible on mobile devices. | Senior Management |
| Account Group / Sunburst | Visualize data from different perspectives, trend reporting. | Financial Analysts, Finance Managers, Senior Management |

- ✓ Report and Data Extraction Tools in Oracle Fusion Cloud ERPM
- ✓ Reporting tools are discussed in our Financials Technical Workshop

## Pre-defined Reports

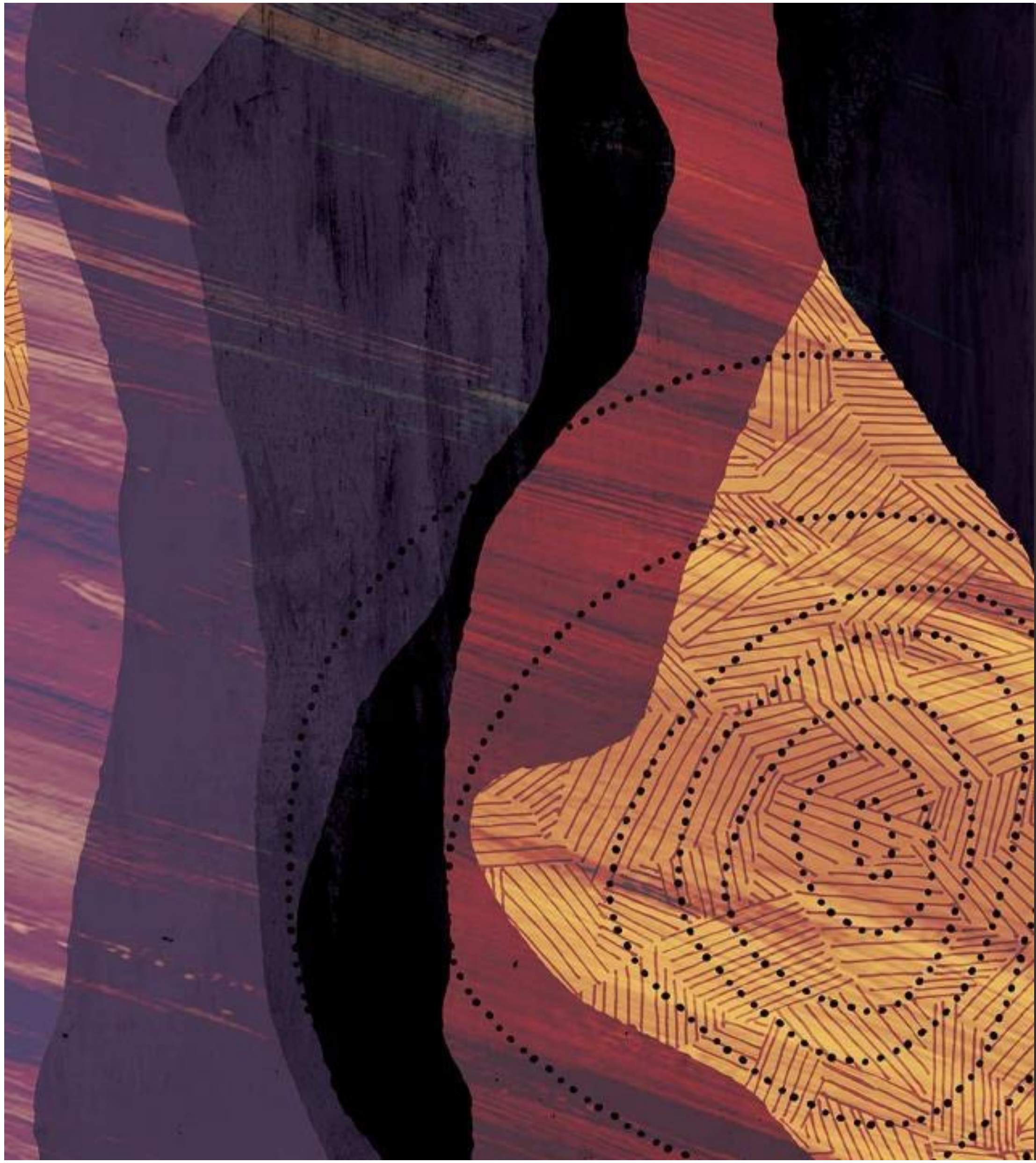
- Account Analysis Report
- Journal Entries Report
- Journal Import Execution Report
- Subledger Accounting Method Setups Report (for Audit)
- Subledger Period Close Exception Report

## Subledger Accounting Subject Areas

- Subledger Accounting – Journals Real Time
- Subledger Accounting – Supporting References Real Time

## Features that help with reconciliation

- Clearing Account Reconciliation
- Control Reference accounting attribute



# Agenda

- Why Accounting Hub Cloud
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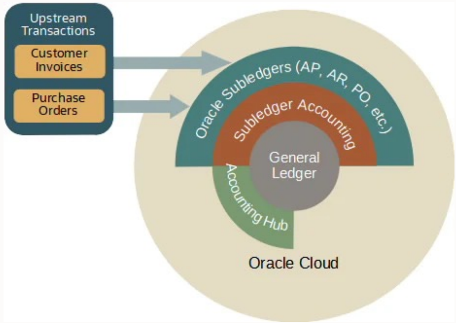
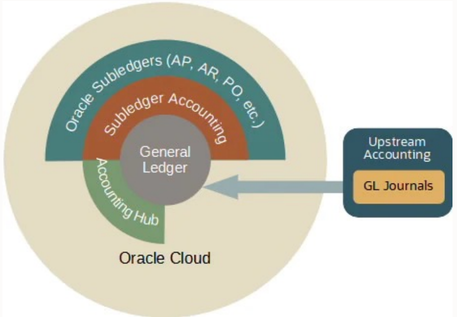
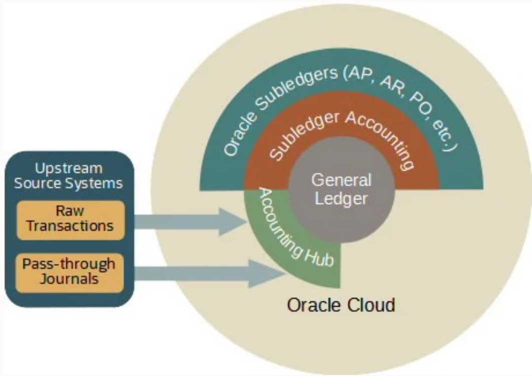
# Considerations | Cloud Subledger Vs GL Vs Custom Subledger




- ✓ We recommend this approach when an Oracle Cloud subledger supports the transaction type. For example, a billing or order entry application creates invoices in Cloud Receivables. It is especially relevant when Cloud ERP manages the corresponding downstream transaction flows. For example, when Cloud Receivables also manages customer payments.




- ✓ We recommend this approach when source systems or ETL tools can generate valid accounting. That is, complete and balanced journal entries which, at the very least, use the primary ledger's COA.




- ✓ The Accounting Hub consumes raw transactions. No Oracle subledger supports the transaction type and the source system cannot generate its own journal entries

- ✓ For more info refer to blog
- ✓ Why Implement the Accounting Hub for Pass-through Accounting?

# Considerations | Functional Design

- Consider the adoption of Accounting Hub as part of the overall finance transformation, not as implementing another ERP module

- Have a clear picture of what requirements you are trying to address:
    - Reporting: including regulatory and management reporting.
    - Accounting: accounting, internal control and audit requirements.
    - Reconciliation: identify reconciliation items.
    - Performance: establish processing needs and performance targets, consider peak volumes and time windows.

- You would typically choose to start with one (or few) source system(s), complete the implementation and testing, adjust the design as needed before proceeding with the rest

- The number of subledger applications that you define is an important decision you need to take.
    - Using a single application for all of your transactions has some functional benefits, as the data is centralized for inquiry and reporting and accounting is generated using a single set of rules.
    - Using multiple applications can enable you to better structure and secure your data. It can give you more flexibility in defining rules. It also provides substantial performance and concurrency benefits.
- You can choose to create multiple subledger applications for a single source system. For instance, if you need multiple event classes, e.g. to allow processing part of the transactions of a source system separately.
- Or, you can choose to group transactions from similar source systems into a common subledger application. For large volumes of data, multiple subledger applications would generally parallelize better.

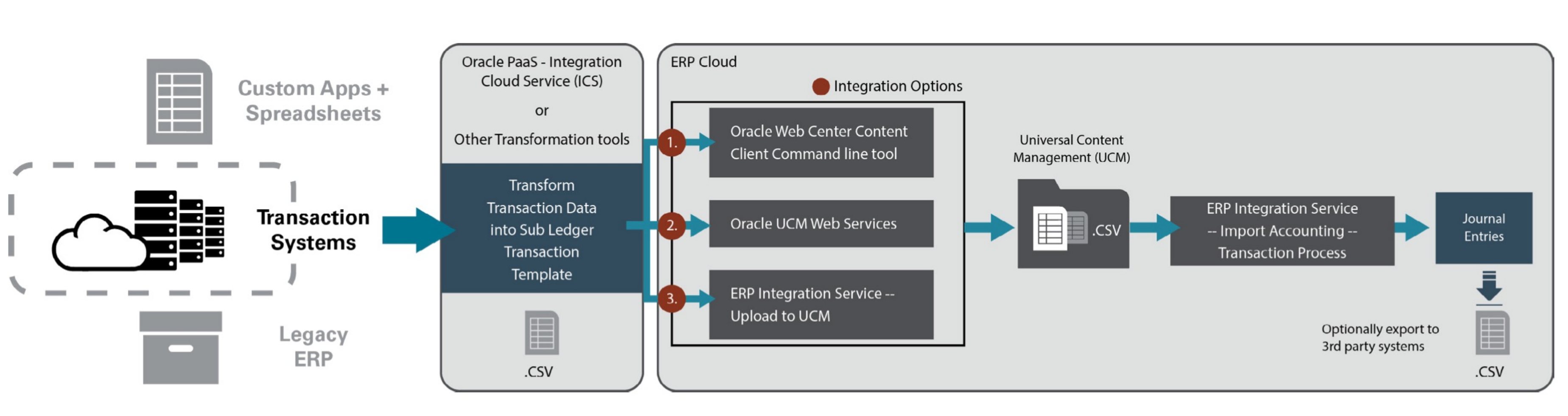
- Minimize the number of journal line rules to reduce consumption of resources, improve performance and simplify rule maintenance.
- Avoid using multiple journal line rules with identical attributes such as amounts, currency and journal side.
- Use priorities to define the most selective condition first, the next most selective condition next, etc. This will help avoid unnecessary processing for each transaction line and will improve performance.

# Considerations | Functional Design

- Implementing supporting references at a later stage can be challenging so their usage should be planned early on. For example: balances are tracked in ledger currency unless Entered Currency Balances for Supporting References Enabled profile option is set. And it can only be set before balances are first created.

- Leverage User Defined Formulas for Data Transformation
    - Numeric Calculations (Ex: Fee as Percent of Principal)
    - Text Transformation (Ex: Line of business = Product + Department)
    - Logical Operators (Ex: Invoking a journal line or a account rule on specific condition)
- This helps in creating a library of common conditions instead of creating same conditions in multiple components
- Leverage Formula in Formula to simplify creation/maintenance
- User Defined Formulas can be used in Journal line rules, Account rules, Mapping sets, Description rules & Supporting reference
- A user-defined formula isn't supported in the transaction account builder

# Considerations | Technical Design | Process Flow Automation




✓ [Customer Connect Reference: Automating Transaction Import]

✓ FBDI Automation is discussed in detail in Financials Cloud - Technical Workshop

# Considerations | Technical Design

- The source system transaction format can be rationalized into accounting hub feed format in two ways
  - Summarization – Ex: Multiple similar transactions for same customer account can be grouped into one summary record for a day
  - Flattening – Ex: Multiple monetary components requiring distinct accounting treatment can be placed as transaction columns. Principal, fee, service tax etc. can be send as one row instead of multiple rows
- Technical & Functional Design Considerations: Refer to Accounting Hub Cloud Best Implementation Practices [Doc ID 2685416.1]
- Cloud Customer Connect posting
- Healthy transaction sizing on Accounting Hub implementations
- Accounting Hub Financial Services Reference Architectures and Best Practices [technical brief]
- Fusion Analytics - Fusion Accounting Hub Cloud Integration - Reference Architecture For Inbound Data Flows

# Considerations | Maintenance & Data Retention

## Accounting Hub Maintenance process

- Different modes in which you can run this process:
  - Purge final accounted transactions
  - Purge unaccounted transactions
  - Purge invalid transactions
- When you run the Accounting Hub Maintenance process in the Purge invalid transactions or Purge unaccounted transactions mode, the application generates these files:
  - An output file listing the deleted transactions.
  - Two CSV files with transaction header and line details for the deleted transactions.
- The layout of the CSV files follows the updated transaction templates. You can review the CSV files, change the source value as needed, and import the accounting transactions again.

## Data Retention

- Profile Option ORA_XLA_AHC_RETENTION_DAYS (30-458 Days)
- Following are exempted
  - Transactions that are used to create multiperiod accounting entries. This type of transactions is kept until the end date of the multiperiod duration.
  - Unaccounted and invalid transactions aren't purged even after the transaction retention period.
- Use Supporting References as an alternative
- Note: You should carefully evaluate the reasons for extending the retention period because it can adversely impact application performance. If you require any key transaction information for analysis and reconciliation, you should use them as attributes of the resulting accounting entries. So, you need not retain the processed transaction data for a longer duration.

# References, Tips & Techniques

- What is the Fusion Accounting Hub
- Healthy transaction sizing on Accounting Hub implementations
- Accounting Hub: Best Implemention Practices
- Accounting Hub: Adoption Trends & Best Practices
- Quick Guide
- Replay: New features in Accounting Hub and Subledger Accounting
- How subledger accounting entries are balanced
- Migrating subledger accounting rules
- Automating Transaction Import
- Security by subledger application
- Cancelling accounting processes
- How to reschedule accounting hub maintenance
- Track Accounting Requests
- Business Flow Supportability
- Implementing Accounting Hub: Useful Links

- Fusion Analytics - Fusion Accounting Hub Cloud Integration - Reference Architecture For Inbound Data Flows
- Subledger Accounting and Accounting Hub Tips

✓ Oracle Cloud Application Update Readiness

NEW

✓ Feature Opt-In Matrix

✓ Enable Offerings for Oracle Applications Cloud Release 13 Upgrade (Doc ID 2317112.1)

✓ Cloud Applications Roadmap

# Accounting Hub Orchestration Improvements for Multiple Ledgers

Import Accounting Hub transaction files with multiple ledgers as a single unit of processing. The import process detects and executes the accounting workload in an elastic manner, reducing the need to orchestrate the files through an external process controller.

The feature contains three major enhancements:

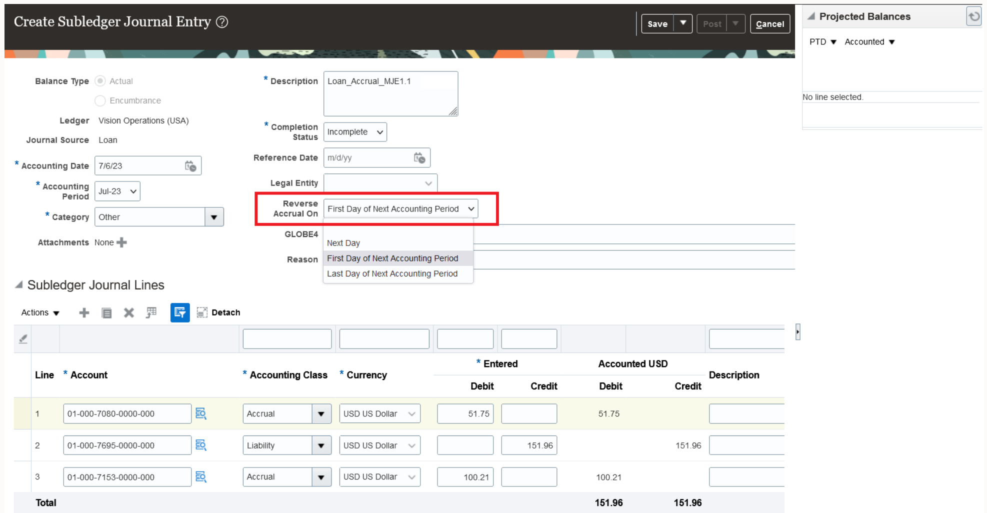
- Process Multiple Ledgers in a Single Process Run
- Improvements to Transfer of Subledger Accounting Entries to General Ledger
- Improvements to Transfer of Subledger Accounting Entries to General Ledger

Business benefits include:

- Improved end-to-end processing of Accounting Hub transactions, including accounting and posting into General Ledger.
- Reduced maintenance of feeds into the Accounting Hub.

Reference

# Accrual Reversal for Manual Subledger Journals in Accounting Hub

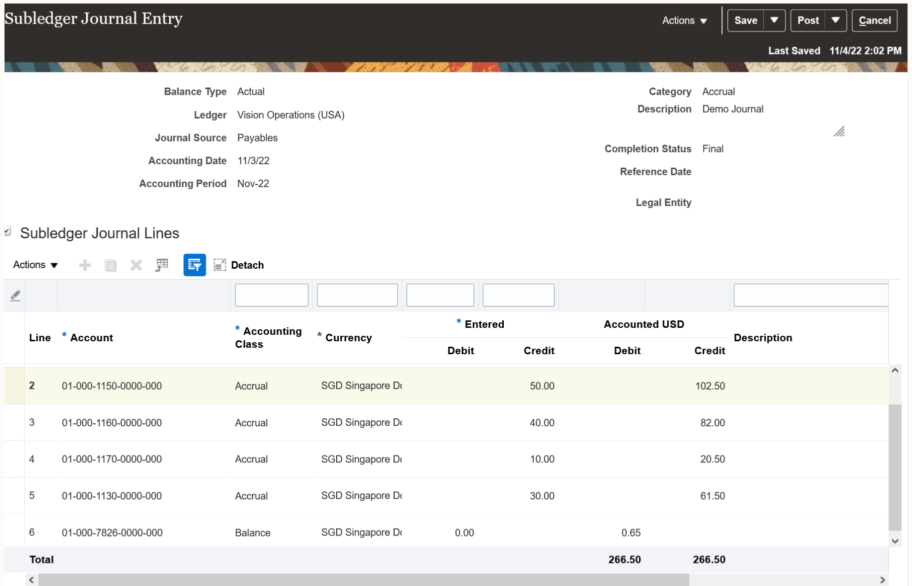



- Automatically generate accrual reversals at the time of journal creation for accounting hub manual subledger journals by providing the reversal criteria in the Create Subledger Journal Entry page or the Create Subledger Journal ADFdi spreadsheet interface. The Create Accrual Reversal Program then selects any Incomplete accrual reversals and updates them to Final status after the period has been opened, and optionally transfers and posts them in general ledger based on the program submission options selected by user.

- The Create Subledger Journal page and the Create Subledger Journals in Spreadsheet ADFdi interface have been updated to include an additional field called "Reverse Accrual On" for journal sources pertaining to accounting hub subledger application. This field presents a list of values which help to determine the accounting date and accounting period for creating the accrual reversal journal. The supported values include - Next Day, First Day of Next Accounting Period, and Last Day of Next Accounting Period. By default the Reverse Accrual On field doesn't have any value, no accrual reversal journal is created in this scenario.

# Gain or Loss Treatment in Foreign Currency Subledger Journals

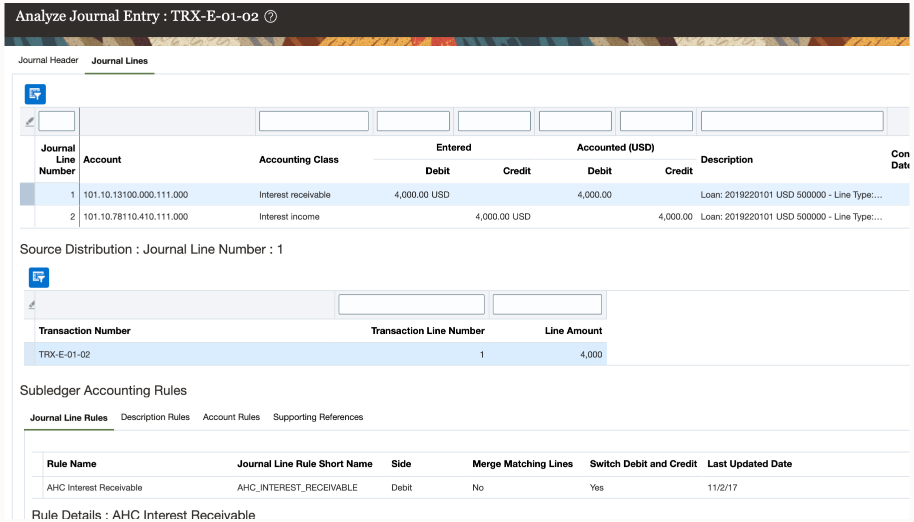
NEW




- When entering a foreign currency journal in the Create Subledger Journal Entry page or spreadsheet, the system automatically calculates any currency exchange gain or loss and records it as a balancing line. This ensures foreign currency gains and losses are recorded when entering subledger manual journals.
- The currency gain or loss balance is automatically recorded in a user-defined rounding account. Users can optionally transfer those currency exchange gain or loss balances to another account via a manual journal entry.

# Subledger Journal Entry Analysis

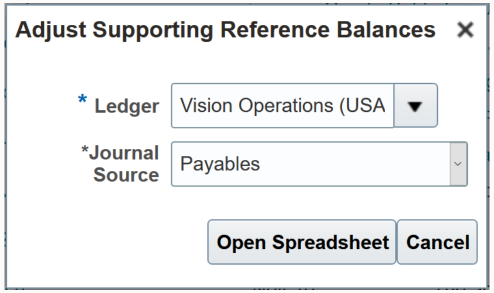



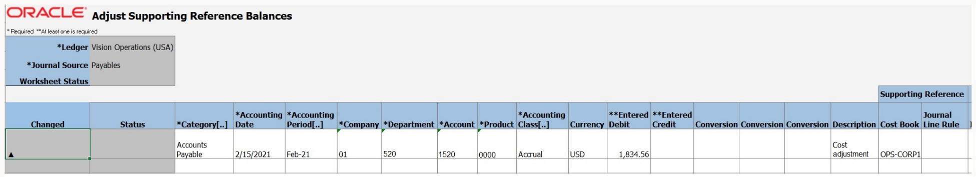

- Analyze the accounting rules and source values used to create a subledger journal entry. Use this analysis to determine whether appropriate rules were used, and make changes where required. This facilitates rules configuration during implementation, provides better visibility into rule exceptions, and creates a full audit trail of accounted transactions.

- Review Accounting Diagnostic function security policy

- Access "Analyze Journal Entry" from **View Accounting** or **Manage Accounting Errors** pages

# Supporting Reference Balance Initialization





ORACLE Adjust Supporting Reference Balances

* Required **At least one is required

*Ledger Vision Operations (USA)

*Journal Source Payables

Worksheet Status

| Changed | Status | *Category[..] | *Accounting Date | *Accounting Period[..] | *Company | *Department | *Account | *Product | *Accounting Class[..] | Currency | **Entered Debit | **Entered Credit | Conversion | Conversion | Conversion | Description | Supporting Reference Cost Book | Journal Line Rule |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| ▲ | | Accounts Payable | 2/15/2021 | Feb-21 | 01 | 520 | 1520 | 0000 | Accrual | USD | 1,834.56 | | | | | Cost adjustment | OPS-CORP1 | |

- Use the Adjust Supporting Reference Balances template to initialize or adjust balances for a supporting reference using ADFdi template
- Complete the details and submit the adjustments to either initialize supporting reference balances or adjust existing balances for the entered combination. The upload creates subledger journal entries for all adjustments and submits the Update Subledger Balances program for processing.
- For each row in the spreadsheet an offset line is automatically created on the opposite side with the same account combination but no supporting references so that the journal entry is balanced. These journal entries help you maintain an audit trail of the supporting reference balance adjustments.
- Resulting subledger journal entries are not transferred to the general ledger.
- Reference

# Thank You